I. PURPOSE

The purpose of this policy is to provide guidance and uniform procedures for the accurate and timely processing of payments for Departmental expenditures, while maintaining strong controls over North Carolina Department of Adult Correction (DAC) resources in accordance with all applicable laws, rules, regulations, and business standards. Additionally, this document is intended to:

A. Provide policy rules and procedures for processing all types of payments for Departmental expenditures, including goods and services procured by purchase order through NC EProcurement@YourService (i.e., E-Procurement), goods ordered from Departmental warehouses through Internal Orders, or various direct purchases through Procurement Cards (P-Card) and/or the CNTR 005 Direct Processing form.

B. Establish acceptable control measures in accordance with Generally Accepted Accounting Principles (GAAP), to ensure reliable accountability and safeguarding of funds and ensure an adequate audit trail of all transactions is maintained.

II. APPLICABILITY

This policy applies to all DAC Divisions.

III. DEFINITIONS

A. Agency Management Unit (AMU) Number

A seven-digit number identifying the section or unit within DAC.

B. Approver

The person who has authority to commit and expend agency funds by signing and dating the CNTR 005 – Direct Processing form for the purchase of goods and/or services, or someone who can approve Internal Orders/Self-Service Portal (SSP) Orders submitted into the North Carolina Financial System (NCFS).

C. Historically Underutilized Business (HUB)

A company-level diversity certification that is generally issued by a State Government to increase the amount of goods and services acquired by that state from HUBs. A HUB certification is non-industry specific and at least 51% of the business is owned and operated by a designated minority group.

D. NCXCLOUD

An online network depository of canned reports generated either from the NCAS or OPUS data sources.

E. North Carolina XPTR (NCXPTR)

A data extraction and report generating software program that can interface with and extract historical data from NCAS.

F. Personally Identifiable Information (PII)

Any information that is connected or belongs to an individual that can be used to uncover or disclose that individual's identity. Examples of PII include, but are not limited to social security number, passport number, driver's license number, taxpayer identification number, patient identification number, financial account, credit card number, personal address, email address, or phone number.

G. Project Code

A 10-digit identifying number in the North Carolina Financial System (NCFS) accounting distribution that identifies the project that is associated with that particular expense, or receipt, being processed in the NCFS General Ledger. For example, for the project: Offender Education 1540, the following data would be used in the NCFS accounting distribution:

Budget Fund	Account	Project Code
108071	51460000	52G0000101

H. Responsibility Cost Center (RCC) Code

Usually a four-digit identifying number assigned to define the organization, funding source, unit/facility, project number, program, or grant identifier. For DAC this four-digit number is usually the identifying number of a correctional unit/facility, but it can also mean other projects or cost units. The last four digits of the seven-digit AMU is usually the RCC Code for that particular unit/facility/project, etc.

I. Requester

Someone who:

1. Initiates the request for direct purchase of a good or service, usually on a CNTR 005 Direct Processing form;

2. Requests DAC Central Warehoused goods via entering an Internal or SSP Order into the Inventory Module of NCFS;

3. Initiates an Enterprise-to-Enterprise (plant-to-plant) transaction by submitting an EPOrder; or

4. Someone that is sent an action in NCFS which needs approval. In this case, in NCFS only, the requester is the approver, not the one initiating the action, such as with a CNTR 005 direct payment.

J. Requisition

An order for goods or services to be purchased from an outside supplier, including Correction Enterprises, to be placed through E-Procurement.

K. Small Purchase

The purchase of commodities or services not covered by a term contract, or not available from Correction Enterprises or a DAC Warehouse, involving an expenditure of public funds of $25,000 or less as established by the North Carolina Department of Administration (DOA) in the North Carolina Procurement Manual.

IV. POLICY

A. This policy shall be used in conjunction with the North Carolina Procurement Manual.

B. Exceptions to this policy must be approved in writing by the DAC Controller's Office.

C. Before any purchase is made, the Section/Location shall check their budget to ensure funds are available to fulfill the desired purchase.

D. Accounting Distributions and Invoice Coding

The accounting distribution in NCFS is composed of 11 segments:

1. Agency Code: A four-digit number identifying the state agency. The agency code for DAC is 5200.

2. Budget Fund: A six-digit number identifying broad-level funding source and purpose, which is included near or at the beginning of the NCFS accounting distribution configuration, with

the first digit designating the accounting area (for example, the Budget Fund number 108001 is for the Division of Administration, former fund code 1100).

3. Account: An eight-digit number. A list of accounts can be found at the NC Office of State Controller's Chart of Accounts. Note: To convert an NCAS account number to an NCFS account number, drop the second digit. Add zeros to the end of the number until it is 8 digits long.

   The first digit of the account identifies the type:

   1 = Asset
   2 = Liability
   4 = Revenue
   5 = Expense

4. AMU: The first two digits are "52", to identify DAC, usually followed by a "0", and the last four digits are the RCC Code to where the paid expense will be recorded in NCFS. For example, Central Prison has RCC 3100, so its AMU is 520**3100**.

5. Agency Program: A seven-digit number. This segment is used for special programs and projects.

6. Funding Source: A four-digit number.

   a) 1000 – State Appropriations
   b) 2000 – Receipts
   c) 30XX – Federal Grant. The last two digits represent the funding year.

7. Project Code: A 10-digit code containing information for grants.

8. Inter-Fund: A six-digit code used for tracking transfers when more than one budget fund is associated with a single transaction.

9. Future 1: Four digits. Reserved for future use.

10. Future 2: Six digits. Reserved for future use.

11. Future 3: Five digits. Reserved for future use.

E. Best practice requires a detail-oriented attention to all data entry and submissions of budget fund, account, and AMU. Sections/locations are responsible for accurate accounting distribution coding as this will affect their budgets and financial reporting.

F. Membership Dues

1. Membership dues paid from State funds to organizations shall be kept to a minimum. The DAC Secretary, or designee(s), shall review and approve all memberships paid from State funds to determine that the benefits accruing to the State from such memberships will

exceed their costs.

2. Membership dues shall not be paid for an individual State employee, or for the benefit of an individual State employee.

3. Membership dues paid from State funds shall be for the benefit of the State, and not for an individual.

4. If the State is to benefit from an individual's membership in an organization, that benefit should be derived from the individual's position, and not a specific individual.

5. Even though a membership may be in the name of a specific individual, the membership shall be cancelled by the Section/Location upon termination of the individual's employment with DAC.

6. An explanation of the benefit to the State shall be attached to the request for payment of membership dues. No payment of dues shall be made without adequate explanation.

G. Professional Licensure, Certification

1. If a professional license or certification is required for a particular position and is a condition of employment (i.e., doctors, nurses, truck drivers, etc.), the cost of that license or certificate shall not be reimbursed by DAC.

2. If a professional license or certification is not initially required for a position, but later becomes a requirement of the position, DAC will pay for the initial license/certification only. "Requirement of the position" means the change has been incorporated into the job description and approved by DAC Human Resources (HR) as a requirement of the job.

3. In cases where licensure/certification is deemed necessary by management for the effective operation of a Section/Location, but is not a requirement of an employee's position, DAC may reimburse the employee for the cost of the license or certificate. The request for payment shall include proper documentation, including justification for the need of the licensure/certification, and shall include approval through the chain of command up to the Division Head or designee.

H. Continuing Education

1. Costs associated with maintaining a professional license or certificate (i.e., courses or workshops) are reimbursable.

2. Courses, workshops, or seminars not involving academic credit, which may grant Continuing Education Online (CEU) or Continuing Professional Education (CPE) credits or other completion recognition where instruction is usually in modules, one to three days in duration, and which charge a registration fee may be paid for by DAC in advance of the training directly to the provider rather than as a reimbursement to the employee.

3. These costs shall be approved in advance by the Section/Location Head based on availability of funds.

I. Employee Appreciation Events

1. Per NC Office of State Budget and Management (OSBM) Budget Manual Section 6.4.4, agencies may spend a portion of lapsed salaries to cover nominal expenses related to employee appreciation activities.

2. Employee appreciation events can only occur once annually, and all staff must be allowed to attend.

3. Nominal expenses per person cannot exceed $25.00. Expenditures must adhere to the following guidelines:

   a) Funds cannot be spent to provide cash awards or cash incentives to employees or contractors.

   b) Funds cannot be spent to purchase gift certificates or gifts for employees or contractors.

   c) Funds cannot be used to purchase anything that could potentially undermine public trust in the agency.

   d) It is the responsibility of the division that the supplier has submitted a Substitute W-9, CNTR 005 to go with the invoice, sales receipt, and other supporting documents and ensure they have the correct mailing address. The supplier is normally provided the sales tax exemption form and the Substitute W-9 form by the facility, however, if the facility is having difficulty locating either of these forms, the DAC Controller's Office will assist the facility with these documents.

4. Agencies that receive grants and/or donations may spend those funds in accordance with the grant agreement or donor's direction only after reporting those funds to OSBM to ensure proper budgeting of the funds prior to expenditure and to comply with reporting requirements where applicable.

V. PROCEDURES

A. Purchase Order Payment Methods

DAC utilizes two different methods under which an invoice may be paid via purchase order:

1. Receipt Based

   a) Most PO purchases for goods are processed for payment using the Receipt Based method. Under this method, the PO stipulates shipment of goods, at a specific quantity and price to the Section/Location requesting them. The invoice, however, is sent directly

to the DAC Controller's Office for payment.

b) Because payment cannot be made by the DAC Controller's Office until the Section/Location formally receives the goods (or services) into E-Procurement, the Section/Location shall immediately receipt goods in E-Procurement. Receipting in E-Procurement should be made within five business days of receiving the goods, but in no instance shall it exceed 10 business days.

c) The Section/Location must base their receipt on the actual quantity received and not on the amount ordered or invoiced.

d) The DAC Controller's Office will pay based on the dollar amount actually received on the E-Procurement system and will resolve discrepancies between the invoiced amount and the amount received with the Section/Location, DAC Purchasing, and/or the supplier as necessary.

e) When receiving on purchase orders for goods that typically fluctuate in price, a tolerance should be set for freight and fuel to assist in processing the invoice for payment. The tolerance is related to cover the good's price, and not freight or fuel surcharges. The requisitioner should allow for freight and/or fuel surcharges when establishing a requisition for a supplier that typically charges for these items.

2. PO Based (Open/Blanket POs)

a) PO Based is also commonly referred to as an Open or Blanket Purchase Order. The PO Based method is used primarily for the purchase of services, but can be used for the purchase of goods, especially medical services when the cost cannot be readily or completely determined in advance. PO Based orders are established with a dollar value unit of measure. Following are the procedures for processing payments on a PO Based order:

b) Invoices received by DAC Controller's Office General Accounting will be provided to the Section/Location (end user). If invoice is received by the end user first, they must forward it to the General Accounting Section after it is receipted.

c) Payment will not be made by General Accounting until the Section/Location formally receives the goods or services into E-Procurement with invoice number and other pertinent information relating to the purchase in the comments section (see exception in part d) below).

d) The Section/Location must base their receipt on the actual quantity/dollar amount received and not on the amount ordered or invoiced.

e) In situations where there is no receipting on a PO Based order (for example, services or goods that cannot be receipted in E-Procurement – such as, Division of Institutions non-receipt open POs, like medical services) – those PO Based orders will require the preparation and submission of a CNTR 005 – Direct Processing form.

f) PO Based orders that are receipted may use the receipt or packing slip for justification for payment in lieu of the CNTR 005 – Direct Processing form for processing.

g) It is the responsibility of the Section/Location to formally receive the goods or services into E-Procurement.

i. Goods or services received by a Section/Location should be receipted in E-Procurement upon receiving the goods or service within five business days, but in no instance shall it exceed 10 business days. NCFS will not allow General Accounting to process an invoice for payment until it is receipted in E-Procurement.

ii. After the Section/Location has receipted the goods or services in the E-Procurement system and the E-Procurement receipt number is recorded on their document, the completed package (receipt document and invoice) should then be provided to the DAC Controller's Office for payment via upload to SharePoint at this link: DAC Controller - Home (sharepoint.com) (preferred method) or inter-office mail (5220 Mail Service Center number).

iii. Any documents containing PII, such as medical prescriptions or laboratory tests, shall be handled in the following manner:

a) The Section/Location shall thoroughly redact all names and last four digits of the Social Security numbers on these documents.

b) The Section/Location shall be responsible for uploading all documents, including invoices, to the DAC Controller's Office SharePoint site at this link: DAC Controller - Home (sharepoint.com). Documents shall not be sent through interoffice mail.

c) The Section/Location is responsible for auditing any invoices to ensure accuracy prior to uploading to SharePoint.

d) The Section/Location shall keep all unredacted (original) documents for 7 years for audit purposes.

B. Purchasing Rules and Procedures for POs (bids/quotes)

1. Small Purchases

a) Competition is not required for commodities/service purchases over $2,500 but no greater than $25,000. However, the purchaser must distribute the Department's contracts among available suppliers that offer quality products and services at fair market value. The local HUB or North Carolina based companies should be used when possible.

b) When purchases are submitted for competition, if competition is obtained verbally, the purchaser must identify in the eProcurement order, the companies from which offers were solicited, the company representative's name, and the price offered. If offers are received in writing, the offers are to be scanned into the eProcurement order. Beware of written offers that contain unacceptable conflicting terms and conditions.

c) Requisitions or orders shall not be split in order to circumvent competition requirements. Purchasers should also monitor the frequency of orders for the same commodities or services to determine if an Agency Specific Term contract would be more beneficial to the Department.

d) Information Technology (IT) commodities or services may be competitively bid up to $25,000.00.

2. Purchases over $25,000, but no greater than $50,000

a) Purchases of commodities or services involving an expenditure exceeding $25,000, but no greater than $50,000, must be submitted for competition. These may be purchased by either using three quotes, and a Request For Quote (RFQ) to the lowest supplier unless it is:

i. Covered by a term contract;

ii. Available from Correction Enterprises or a DAC Warehouse; or

iii. Qualifies as a waiver.

b) Or if using the competitive bid procedure, purchasers shall:

i. Use the appropriate solicitation document template from the standard DAC Purchasing templates (for IT, use templates from DIT's web site) to insure the most up-to-date language is used;

ii. Develop and include open and fair specifications/scope of work, delivery requirements, quantities, and award criteria;

iii. Enter into the eProcurement Sourcing Tool to solicit bids;

iv. Conduct an impartial evaluation of all offers received; and

v. Make an award of contract in the best interest of the Department and one that can withstand a formal written protest from a supplier not awarded the contract. A purchase order is to be issued via eProcurement once the contract is awarded.

3. Purchases over $50,000

   a) For the purchase of commodities or services involving an expenditure of public funds exceeding $50,000, the competitive procedure must be followed, and the request forwarded to State Purchasing and Contracts.

   b) For IT procurements, the competitive procedure must be followed, and the request forwarded to the Department of Information Technology (DIT) for amounts exceeding $25,000.

   c) The following may not apply to special delegations, exemptions, across-the-counter resale, waivers, or emergency and pressing need purchases.

      i. For the purchase of commodities and services exceeding $50,000, the Purchaser shall:

         a. Prepare a Request for Proposals (RFP) or Invitation for Bid (IFB) using the appropriate DAC Purchasing templates (for IT, use templates from DIT's web site) to ensure the most up-to-date language is used.

         b. Develop and include open and fair specifications/scope of work, delivery requirements, quantities, and award criteria. (At this point, if it is IT related, the requirement must be sent to DIT. They may handle the requirement or return it for handing by DAC Purchasing).

         c. Prepare a solicitation document and send it to State Purchasing and Contracts or DIT, as applicable, via the eProcurement Sourcing Tool and include all relevant information (specifications, scope of work, delivery requirements, quantities, award criteria, Federally Funded Certifications, etc.) with the requisition for preliminary review.

         d. Once preliminary review is completed, finish the solicitation document in the eProcurement Sourcing Tool. DIT solicitation documents are submitted via eProcurement requisition. Conduct an impartial evaluation of all bids received.

         e. Send the bids received and your recommendation to State Purchasing and Contracts via E-Procurement Sourcing Tool and for DIT via eProcurement requisition, as applicable, along with your evaluation and justification for your recommendation.

         f. DIT or State Purchasing and Contracts, whichever is applicable, have final decision as to who will get the award, but DAC must officially award the contract. Differences in recommendations are usually worked out through negotiations between DIT or State Purchasing and Contracts and DAC.

g. Make an award of contract in the best interest of the Department and one that can withstand a formal written protest from a supplier not awarded the contract.

h. A purchase order is to be issued via eProcurement once a contract has been awarded.

C. Closing Purchase Orders

1. Section/Locations shall review their open purchase orders at least quarterly to ensure they have closed properly in NCFS by using the NCFS NC PO Balance by Various COA Elements Report (RPTPO001), which can be accessed in NCFS by choosing the following pathway:

   Tools>Reports&Analytics>Custom>FBR Custom>Report>Procurement

2. NCFS NC PO Balance by Various COA Elements Report (RPTPO001)

   a) The NCFS NC PO Balance by Various COA Elements Report (RPTPO001) is available in NCFS at any time during the month—the initiator of the report can set their own desired time/date parameters for identification of open POs.

   b) The NCFS NC PO Balance by Various COA Elements (RPTPO001) can be sorted by AMU. Sections/Locations should choose their applicable AMU when running the NCFS NC PO Balance by Various COA Elements Report (RPTPO001) to review open purchase orders.

   c) Each Section/Location shall review the NCFS NC PO Balance by Various COA Elements Report (RPTPO001) at least quarterly and take appropriate action to correct problem purchase orders that remain open after delivery or in which errors are otherwise noted. Please see the DAC Purchasing Manual for handling change orders; refer to Section XIII, MISCELLANEOUS, subsection H., Change Orders.

   d) The Section/Location shall report (via email and NCDAC-867) purchase orders that have been closed to receipting but remain open or partially open to invoicing to DAC Purchasing after 30 to 60 days, and to General Accounting (dac.openporeport@dac.nc.gov) after 90 days.

   e) The NCFS NC PO Balance by Various COA Elements Report (RPTPO001) shall be signed and dated by the Section's individual reviewing the report and maintained on file within the Section/Location for audit purposes.

   f) If the Section/Location does not have access to the NCFS NC PO Balance by Various COA Elements Report (RPTPO001), personnel should contact the DAC Controller's Office at: dac.openporeport@dac.nc.gov.

D. Direct Payment Processing and Accountability Procedures

1. Sections/Locations may use CNTR 005 – Direct Processing form to make small purchases when the total amount is $2,500 or less. It is current DAC Purchasing policy that formal purchase orders are required for all purchases over $2,500.

2. If a purchase of goods or service is required over the $2,500 threshold, as in a pressing need or emergency purchase, please contact DAC Purchasing prior to purchase of goods or service if the emergency or pressing need arises during normal operational hours, 7:00 a.m. through 5:00 p.m. Monday – Friday. If the purchase exceeds the $2,500 CNTR 005 threshold, the end user must enter a requisition. However, if a CNTR 005 is approved for the purchase, it will not be processed for payment unless the end user gets a justification signed by their Director, in accordance with the DAC Purchasing Manual.

3. CNTR 005 – Direct Processing form is also used to process invoices for PO based purchase orders. Listed below are items that may be paid using the CNTR 005 – Direct Processing form as a Direct Invoice not subject to the direct processing threshold:

   a) Employee property loss and damage claims;
   b) Pre-approved room rentals (Direct Hotel Bills) and meals;
   c) License tag fees;
   d) Membership fees;
   e) Insurance costs;
   f) Costs associated with Engineering Construction and Service Contracts;
   g) Postage costs;
   h) Charges associated with the use of State-owned plane, commercial airline tickets and travel agency invoices;
   i) Copier and fax maintenance renewals;
   j) Purchase of State and Federal Surplus Property ;
   k) Misdemeanant Confinement Fund (paid to the NC Sheriffs Association);
   l) Direct State Agency bills (Worker's Comp, DMA Medical);
   m) Registration fees;
   n) Subscription fees (Magazines, Newspapers);
   o) Tuition, Registration fees and Offender Training;
   p) Cable TV charges;
   q) Communication costs (ATT, Verizon, etc.); and
   r) Utilities repair invoices.

4. CNTR 005 – Direct Processing form Accountability

   a) CNTR 005 Direct Processing form is available on the DAC intranet.

   b) Each Section/Location shall be responsible for maintaining a log of their CNTR 005 – Direct Processing forms as they are issued. The log shall contain:

      i. The CNTR 005 – Direct Processing form number;
      ii. The Individual Making the Purchase (Requester);

iii. The Date of Issue;
iv. The Supplier Name;
v. The Supplier Number;
vi. The Supplier Site Number (Remit-to address on the invoice);
vii. The Invoice Date;
viii. The Invoice Number;
ix. The Invoice Amount;
x. The Date Processed and Sent to the DAC Controller's Office; and
xi. The Date Paid (If required by respective Section/Location).

c) Numbering for CNTR 005 – Direct Processing Form – the CNTR number (see upper right-hand corner of form) will consist of a unique 10-digit numbering system. The preferred method for developing numbers consists of the last 4 digits of the AMU, the next 2 digits designating the fiscal year, and the remaining 4 digits designating a sequential document number. However, when necessary, a different methodology may be used if it is unique to that Section/Location. The form numbering does not determine where an item is charged. It is just a method of assigning a unique number to the CNTR 005 – Direct Processing form for tracking purposes.

d) As each CNTR 005 – Direct Processing form is used, the CNTR 005 – Direct Processing form number, Requester's name, and Date of Issue shall be immediately entered in the log when invoice is received. The end user shall complete the CNTR 005, attach invoice, and enter information into CNTR 005 logbook.

5. CNTR 005 – Direct Processing form Number Provided to the Supplier

a) At the time the purchase is made, the end user must provide the CNTR 005 – Direct Processing form an assigned number (see 2(c) above).

b) The end user will be instructed to include this number as a reference number on the Invoice to be sent to the Section/Location.

6. Approval of the CNTR 005 – Direct Processing form

The Section/Location Head shall identify and designate in writing those employees who are authorized to approve the CNTR 005 – Direct Processing form.

a) The written designations shall include the following information:

i. Section/Location Name;
ii. RCC Code;
iii. Name(s) of the individual(s) designated to approve CNTR 005- Direct Processing form for the RCC Code, followed by the designated approver's signature(s); and
iv. Section/Location Head name printed/typed, followed by signature and date.

b) The original written designations shall be sent to the DAC Controller's Office – Attention: General Accounting Manager; MSC 5220, Raleigh, NC 27699-5220; copies shall be retained at the Section/Location for audit purposes.

c) These approvers shall review the CNTR 005 – Direct Processing form and supporting documentation prior to approving a direct purchase to ensure purchasing procedures have been followed and the use of the CNTR 005 – Direct Processing form is appropriate.

7. Exemption to the CNTR 005 – Direct Processing Form Submission

a) Where evidential approval exists or a payment agreement is documented, General Accounting will process payment without the CNTR 005 – Direct Processing form. The payments and credits from the following supplier and supplemental financial systems are exempt from the CNTR 005 – Direct Processing form and will be processed by the DAC Controller's Office:

i. Government Agencies including federal, state and local government;
ii. Utility Suppliers;
iii. Leases – Unless Direct Payment;
iv. Payments uploaded from supplemental financial systems such as CAPTURIS, Go Gas (Wright Express) and Bank of America (BOA);
v. Drug Screening Suppliers;
vi. Hotels; and
vii. Suppliers:

a. PGBA
b. Presidio
c. Worker's Compensation
d. Motor Fleet Management, DOA State Surplus Property Agency, Courier, and Temporary Solutions (budget fund and AMU must be supplied, approval on timesheet or FIORI CATS_DA).

b) Supplier credits will be processed by the DAC Controller's Office as necessary.

E. Direct Processing Payment Procedures

1. All incoming invoices and other business correspondence forwarded through the mail shall be date stamped on the day received.

2. Each completed CNTR 005 – Direct Processing form shall be sent/uploaded to the DAC Controller's Office within seven calendar days after receipt of the invoice or electronic notice of invoice availability. Extremely short due date invoices shall be sent or uploaded to SharePoint immediately and notify the Accounts Payable team of the urgency of payment.

3. When an invoice offers a supplier discount for prompt payment, the CNTR 005 – Direct Processing form, along with the invoice, shall be immediately submitted to the DAC Controller's Office to take advantage of the discount.

4. Receiving Goods and Services CNTR 005 – Direct Processing form shall be sent/uploaded to SharePoint to the DAC Controller's Office for processing only after the Section/Location verifies that the goods or services have been received and the invoice is in hand.

5. The DC-704 Request Approval for Purchase form and the packing slip shall be kept at the facility as proof of delivery and payment approval for audit purposes.

6. The Section/Location should investigate any discrepancies noted between the items reflected on CNTR 005 – Direct Processing form and the items received or invoiced to ensure DAC is not overcharged or billed for items not received.

7. All invoices should be verified before submitting to the DAC Controller's Office for quantity and price extensions.

    a) Any errors should be corrected and verified with the supplier.

    b) Corrections must be initialed and dated, and the individual contacted at the supplier's business shall be noted on CNTR 005 – Direct Processing form.

    c) Corrections shall be made by lining through the incorrect figure and writing the correct figure above, or next to the line out. Initial and date the correction.

    d) Invoice lines shall be re-extended, and the invoice re-added.

        i. Often the supplier will issue a credit invoice or provide a new invoice for the transaction in lieu of correcting the existing invoice. If so, care shall be taken to ensure all necessary information is sent (or uploaded to SharePoint) to the DAC Controller's Office for payment. Section/Location personnel should follow the following instructions when applicable:

            a. If the supplier intends to adjust the original invoice by issuing a credit memo to be applied to said invoice, field personnel should upload to SharePoint both the credit memo and the original invoice.

            b. If the supplier intends to replace the original invoice by issuing a both a credit memo to offset the original, and then issue a replacement invoice, field personnel should upload in their package the original invoice, the offsetting credit memo, and the new replacement invoice so that AP personnel has all the relevant information at their disposal to key into NCFS.

        ii. If the purchase is for vehicle or equipment repair, the requester must enter the fixed asset number on CNTR 005 – Direct Processing form.

8. The DAC Controller's Office Accounts Payable Section shall process an invoice for payment within 10 business days (excluding holidays) upon receipt or upon electronic notice of invoice availability. Processing an invoice does not mean that it will be paid within 10 days.

9. An invoice shall be paid based on the terms of the invoice or purchase order. If no terms are indicated on the invoice or PO, or if the invoice terms are set at net 30 on the invoice, then the invoice will be set in the NCFS Accounts Payable module to pay net 25 so that payment will be issued within 30 days of the invoice date.

10. The requester must hand sign or digitally sign and date the CNTR 005 – Direct Processing form.

11. The requester (or individual who prepared the CNTR 005 – Direct Processing form) shall forward the completed CNTR 005 – Direct Processing form, the invoice(s) and any other documentation to the approver for signature and date.

12. The approver, by signing and dating the form, not only approves the use of CNTR 005 – Direct Processing form for the listed purchase, but also attests that the use of CNTR 005 – Direct Processing form follows normal purchasing practices.

13. The DAC Controller's Office will maintain Accounts Payable documentation for three years unless the purchase is from federal funds or capital improvements, which will follow a longer retention period.

    a) After one year, if no litigation, claim, audit, or other official action involving the records has been initiated, the records may be destroyed at the Section/Location.

    b) If official action has been initiated, destroy the records after completion of the action and resolution of all issues involved.

    c) Destruction shall consist of shredding or other approved methods that render the documents completely unreadable.

14. Emergency or Pressing Need Purchase Payments on the CNTR 005 – Direct Processing form

    a) Non-Declared Emergency or Pressing Need During Business Hours

       If a non-declared emergency or pressing need arises during regular business hours (7:00 a.m. through 5:00 p.m. Monday – Friday), a Purchase Requisition shall be entered for purchases exceeding $2,500. The CNTR 005 – Direct Processing form should only be used for emergency or pressing need purchases of $2,500 or less.

    b) Non-Declared Emergency or Pressing Need After Business Hours

       When an emergency or pressing need arises after 5:00 p.m. and before 7:00 a.m., CNTR 005 – Direct Processing form may be used to make a purchase that alleviates the emergency or pressing need without regard to the $2,500 limit. Justification shall be provided, and the Section/Location Head's approval is required to substantiate the need for the emergency or pressing need purchase after business hours.

    c) See the DAC Purchasing Manual for the definition of emergency and pressing need and additional applicable purchasing procedures.

    d) To upload documents to the DAC Controller's Office – General Accounting Accounts Payable library, see this link: DAC Controller - Home (sharepoint.com). Contact the DAC System Support group via email at: dac.financialsystemsupport@dac.nc.gov to get

assistance on how to gain access to the particular SharePoint Accounts Payable library that you need.

F. Contractual Services

1. Personal Service Contracts

a) State agencies shall acquire contractual services only after it is determined that the services cannot be reasonably accomplished by employees of the agency seeking such services. NC Gen. Stat. § 143, Article 3 and NC Gen. Stat. § 143, Article 3C and the rules, regulations, and procedures of the North Carolina Department of Administration, Division of Purchase and Contract provide the reference for the procurement of service in the Procurement Manual.

b) A personal service contract is an agreement for services provided by a professional individual on a temporary or occasional basis.

2. Categories of Personal Service Contracts

a) Contractual Employee

Contractual employees are employees under contract for tax reporting purposes only. These individuals are subject to federal tax withholding, state income tax withholding, social security tax and Medicare tax. Contractual employees will be paid through the State payroll system (FIORI) and not DAC Controller's Office Accounts Payable. A W-2 Wage and Tax Statement form will be issued to these employees at the end of the calendar year. Based on previous audits by the IRS, the following categories have been determined to be contractual employees; however, this list is not all inclusive:

i. Dental Externs
ii. Dental Interns
iii. Dental Hygienists
iv. Dental Assistants
v. Nurses
vi. Nursing Assistants
vii. EEG Technicians
viii. Radiology/X-ray Technicians
ix. Lab Technicians
x. Respiratory Therapists
xi. Physician Assistants
xii. Physical Therapists
xiii. Pharmacists
xiv. Rehabilitation Therapists
xv. Social Workers
xvi. Teachers (including Substitutes)
xvii. Substance Abuse Counselors
xviii. Instructional Trainers

xix. Truck Drivers

b) To request supplemental staff, HR 022 - Request for Supplemental Staff form, must be completed and submitted to DAC Human Resources.

c) Independent Contractors – The Internal Revenue Service does not consider these individuals employees for tax reporting purposes. A 1099 - NEC (Nonemployee Compensation) form will be issued at the end of the calendar year for independent contractors.

   i. CNTR 006A – Contractor Personal Services Contract Questionnaire for Determination of Tax Status form and CNTR 006B – DAC Personal Services Contract Questionnaire for Determination of Tax Status form shall be completed and submitted to DAC Purchasing so that they may ensure the tax status is correct.

   ii. DAC Purchasing will send completed forms to the DAC Controller's Office for review and determination of status when an independent contractor status is requested.

   iii. If the status of an independent contractor is confirmed, the State of North Carolina Substitute Sub W-9 – Request for Taxpayer Identification Number form shall be completed at the time the contract is initiated and all renewals thereafter.

   iv. A copy of the Sub W-9 – Request for Taxpayer Identification Number form shall be sent to the DAC Controller's Office to correctly set up the independent contractor in the North Carolina Financial System (NCFS).

d) Dual and Secondary Employment

   i. Dual employment occurs when one State agency secures the services of an employee of another State agency on a part time, consulting, or contractual basis.

   ii. Work performed for an employer other than a State agency by any full-time State employee is termed secondary employment, not dual employment.

   iii. Please refer to the NC Office of State Human Resources website for policies and procedures governing dual and secondary employment.

3. Independent Contractor Invoicing Procedures

   a) The independent contractor may not begin their duties without either an approved purchase order, or an approved contract/MOU/MOA.

   b) A copy of the contract/MOU/MOA for the independent contractor should be saved at the relevant Section/Location or may be attached in E-Procurement along with all pertinent documents; General Accounting may request a copy of any contract/MOU/MOA, if needed.

   c) The Section/Location will be required to maintain the CNTR 007 – DAC Independent Contractor Time Report form to document the hours of service performed by the contract professional personnel.

   d) The Purchase Order Number must be included on the CNTR 007 – Independent Contractor Time Report form and the CNTR 005 – Direct Processing form.

   e) The CNTR 007 – Independent Contractor Time Report form will be approved by both the supervisor and the independent contractor. The CNTR 007 – Independent Contractor Time Report form shall be attached to the CNTR 005 – Direct Processing form and forwarded to General Accounting no later than the fifth working day of the following month.

   f) The total compensation due shall be calculated by the independent contractor and verified by the supervisor prior to submission.

   g) The total dollars due must be receipted into E-Procurement.

G. DAC Internal Orders

1. Internal Orders are segregated into two distinct versions and defined in NCFS as:

   a) Self-Service Portal Orders – Purchases of consumable/expendable items.

   b) Warehouse Transfer Orders – Purchases of items that are moved from a distribution/warehouse to a sub-warehouse that are kept in inventory until issued and expensed.

   c) Internal Orders both SSP and Transfer Orders are required when ordering stocked goods from DAC Distribution Centers/Warehouse, as identified in Section F. 2. a) below.

      i. An Internal Order is entered into the NCFS Inventory App by authorized personnel at each Section/Location.

      ii. Internal Orders are placed when replenishing inventory at a Section/Location sub-warehouse or when ordering items that will be used for general consumption (non-inventoried), such as office or janitorial supplies.

2. Section/Location specific forms or other approved methods shall be used to communicate the required information to the individual entering the order into the NCFS Inventory App. Required information includes description of items and/or item numbers, and the quantity of items needed.

    a) Only items stocked in DAC Distribution Warehouses can be ordered using an Internal Order. These warehouses are:

        i. Central Supply Warehouse (General Items and Dry Goods) – 4210451
        ii. Security Warehouse (Custody and Security Items) – 4210452
        iii. Central Pharmacy (Medical Items) – 422046M
        iv. Central Pharmacy (OTC Drug Items) – 422046D (Only used for Over-The-Counter drug items ordered for Prison Canteens)
        v. Radio Shop (Transportation and Communication Items) – 4210401
        vi. Meat Processing Plant (Food Items) – 428305R
        vii. Produce Warehouse (Food Items – Correction Enterprises canned goods and produce) – 428330R
        viii. Correction Enterprises Warehouse (Correctional Enterprises clothing, janitorial, and forms) – 428262R

    b) Items stocked in the DAC Distribution Warehouses can be found online or in reports using NCFS.

    c) SSP and Transfer Orders must be separated, and warehouse orders cannot be combined with other warehouse orders. (For Example: You cannot order items from Central Supply and Correctional Enterprises Apex on the same order.)

        Note: All accounting information must be entered on the order including the following: Agency, Budget Fund, Natural Account, and Agency Management Unit. Some orders may require additional accounting fields such as Agency Program, Funding Source, Project, and Multi-Year Indicator. It is the user and the facility approver's responsibility to ensure that the accounting distribution information is accurate.

    d) To prevent errors in shipping and accounting, once an order has been submitted, any changes (additions or deletions) must be coordinated with the issuing distribution warehouse to ensure the changes can be accommodated.

3. Internal Orders are manually approved by the Section/Location and not in NCFS. All manual approval documentation is retained by the facility for future audit purposes.

    a) Orders are approved on a document basis rather than line by line; approval authorizes all items reflected on the order to be purchased or transferred.

    b) Sections/Locations must develop a manual approval process to facilitate their orders and document for auditing purposes. Approvers should check daily for any orders requiring their approval.

c) The requester is responsible for placing the order. The approver is responsible for the accuracy of the order.

4. When Sections/Locations receive items and orders from one of the Distribution Warehouses, they are responsible for checking the items received against the pick list. The following procedures for receiving items from one of DAC Distribution Warehouses shall be followed:

   a) Verify each item against the pick list as they are off-loaded from the truck.

   b) If there are no discrepancies between the pick list and the items received:

      i. The Section/Location employee and driver shall sign the pick list to indicate no discrepancies.

      ii. The driver will keep one copy of pick list to be filed at the warehouse.

   c) One copy of the pick list will be retained at the Section/Location, filed by order number. A screen print copy of the SSP or Transfer Order or an Inventory Recap Report from NCFS shall also be maintained on file.

   d) As with all procurement documents, the pick list and screen print shall be immediately signed, date-stamped, and filed to show when the goods were ordered and received.

   e) If there is a discrepancy between the pick list and the items received:

      i. The driver will prepare a DC-754 - Over/Short form indicating the discrepancies.

      ii. Both the Section/Location employee and the driver will sign and date the pick list and DC-754 – Over/Short form.

      iii. Do not make changes to the order or the pick list.

      iv. The driver will retain one copy of signed pick list and DC-754 – Over/Short form for delivery to the warehouse. Discrepancies will be resolved according to each warehouse's policies and guidelines with the Section/Location.

      v. The Section/Location will retain one copy of the pick list and DC-754 – Over/Short form, to be filed by order number with the other documents pertaining to the order.

VI. REFERENCES

A. CNTR 005 -- Direct Processing form
B. DAC Purchasing Manual
C. NC Office of State Controller's Chart of Accounts
D. NC Office of State Budget and Management (OSBM) Budget Manual
E. NCFS NCPOBalance by various COA Elements Report (RPTPO001)
F. DC-704 Request Approval for Purchase form

G. DAC Controller - Home (sharepoint.com)
H. NC Gen. Stat. § 143, Article 3 and NC Gen. Stat. § 143, Article 3C
I. W-2 Wage and Tax Statement form
J. HR 022 - Request for Supplemental Staff form
K. 1099-NEC (Nonemployee Compensation) form
L. CNTR 006A – Contractor Personal Services Contract Questionnaire for Determination of Tax Status form
M. CNTR 006B – DAC Personal Services Contract Questionnaire for Determination of Tax Status form
N. Substitute W-9– Request for Taxpayer Identification Number form
O. NC Office of State Human Resources
P. CNTR 007 – DAC Independent Contractor Time Report form
Q. DC-754 – Request for Item Return form (Over/Short Form – see Purchasing Website)